

**Notations :**

- 1.Options shown in green color and with ✓ icon are correct.
- 2.Options shown in red color and with ✗ icon are incorrect.

|                                                |                                       |
|------------------------------------------------|---------------------------------------|
| <b>Question Paper Name :</b>                   | IIT M DEGREE AN EXAM QDB2 15 Mar 2026 |
| <b>Subject Name :</b>                          | 2026 Mar15: IIT M AN EXAM QDB2        |
| <b>Creation Date :</b>                         | 2026-03-05 10:37:28                   |
| <b>Duration :</b>                              | 120                                   |
| <b>Total Marks :</b>                           | 637                                   |
| <b>Display Marks:</b>                          | Yes                                   |
| <b>Share Answer Key With Delivery Engine :</b> | Yes                                   |
| <b>Actual Answer Key :</b>                     | Yes                                   |
| <b>Calculator :</b>                            | Scientific                            |
| <b>Magnifying Glass Required? :</b>            | No                                    |
| <b>Ruler Required? :</b>                       | No                                    |
| <b>Eraser Required? :</b>                      | No                                    |
| <b>Scratch Pad Required? :</b>                 | No                                    |
| <b>Rough Sketch/Notepad Required? :</b>        | No                                    |
| <b>Protractor Required? :</b>                  | No                                    |
| <b>Show Watermark on Console? :</b>            | Yes                                   |
| <b>Highlighter :</b>                           | No                                    |
| <b>Auto Save on Console?</b>                   | Yes                                   |
| <b>Change Font Color :</b>                     | No                                    |
| <b>Change Background Color :</b>               | No                                    |
| <b>Change Theme :</b>                          | No                                    |
| <b>Help Button :</b>                           | No                                    |
| <b>Show Reports :</b>                          | No                                    |
| <b>Show Progress Bar :</b>                     | No                                    |

**Group I**

|                                 |             |
|---------------------------------|-------------|
| <b>Group Number :</b>           | 1           |
| <b>Group Id :</b>               | 64065332737 |
| <b>Group Maximum Duration :</b> | 0           |
| <b>Group Minimum Duration :</b> | 90          |

|                                                 |               |
|-------------------------------------------------|---------------|
| Show Attended Group? :                          | No            |
| Edit Attended Group? :                          | No            |
| Break time :                                    | 0             |
| Group Marks :                                   | 637           |
| Is this Group for Examiner? :                   | No            |
| Examiner permission :                           | Cant View     |
| Show Progress Bar? :                            | No            |
| Revisit allowed for group Instructions? :       | Yes           |
| Maximum Instruction Time :                      | 0             |
| Minimum Instruction Time :                      | 0             |
| Group Time In :                                 | Minutes       |
| Revisit Section :                               | Yes           |
| Action on Revisit Section :                     | View and Edit |
| Navigate To Group Summary From Last Question? : | No            |
| Disable Submit Button During Assessment? :      | No            |
| Section Selection Time? :                       | 0             |
| No of Optional sections to be attempted :       | 0             |

## Corporate Finance

|                                                              |              |
|--------------------------------------------------------------|--------------|
| Section Id :                                                 | 640653129735 |
| Section Number :                                             | 1            |
| Section type :                                               | Online       |
| Mandatory or Optional :                                      | Mandatory    |
| Number of Questions :                                        | 26           |
| Number of Questions to be attempted :                        | 26           |
| Section Marks :                                              | 100          |
| Display Number Panel :                                       | Yes          |
| Section Negative Marks :                                     | 0            |
| Group All Questions :                                        | No           |
| Enable Mark as Answered Mark for Review and Clear Response : | No           |
| Section Maximum Duration :                                   | 0            |
| Section Minimum Duration :                                   | 0            |
| Section Time In :                                            | Minutes      |
| Maximum Instruction Time :                                   | 0            |
| Sub-Section Number :                                         | 1            |
| Sub-Section Id :                                             | 640653362944 |
| Question Shuffling Allowed :                                 | No           |

Question Number : 1 Question Id : 6406531961614

**Correct Marks : 0**

Question Label : Multiple Choice Question

**THIS IS QUESTION PAPER FOR THE SUBJECT "DEGREE LEVEL : CORPORATE FINANCE (COMPUTER BASED EXAM)"**

**ARE YOU SURE YOU HAVE TO WRITE EXAM FOR THIS SUBJECT?**

**CROSS CHECK YOUR HALL TICKET TO CONFIRM THE SUBJECTS TO BE WRITTEN.**

**(IF IT IS NOT THE CORRECT SUBJECT, PLS CHECK THE SECTION AT THE TOP FOR THE SUBJECTS REGISTERED BY YOU)**

**Options :**

6406536373965.  Yes

6406536373966.  No

**Sub-Section Number :**

2

**Sub-Section Id :**

640653362945

**Question Shuffling Allowed :**

Yes

**Question Number : 2 Question Id : 6406531961615**

**Correct Marks : 4**

Question Label : Multiple Choice Question

Ria invested Rs 10,000 in a fund that tripled her investment 12 years later. What was the approximate annual rate of interest (compounded annually) of the fund?

**Options :**

6406536373967.  6.12%

6406536373968.  9.59%

6406536373969.  11.60%

6406536373970.  13.05%

**Question Number : 3 Question Id : 6406531961616**

**Correct Marks : 4**

Question Label : Multiple Choice Question

The GDP deflator in the economy of Arrakis is 120 in the year 2025. If the Nominal GDP is reported as 24,000 units, what is the Real GDP?

**Options :**

6406536373971.  28,800 units

6406536373972.  22,000 units

6406536373973.  20,000 units

6406536373974.  18,000 units

**Question Number : 4 Question Id : 6406531961617**

**Correct Marks : 4**

Question Label : Multiple Choice Question

Consider a project with an initial investment of Rs 5,000 in Year 0. It generates cash flows of Rs 3,000 in Year 1 and Rs 3,000 in Year 2. If the discount rate is 10%, what is the Profitability Index (PI)?

Options :

6406536373975. ✓ 1.04

6406536373976. ✗ 0.96

6406536373977. ✗ 1.21

6406536373978. ✗ 1.15

Question Number : 5 Question Id : 6406531961618

Correct Marks : 4

Question Label : Multiple Choice Question

A company's stock is currently trading at Rs 500. It is expected to pay a dividend of Rs 25 next year. If the required rate of return is 12% and the dividend is expected to grow at a constant rate, what is the implied growth rate according to the Gordon Growth Model?

Options :

6406536373979. ✗ 5%

6406536373980. ✗ 6%

6406536373981. ✓ 7%

6406536373982. ✗ 8%

Question Number : 6 Question Id : 6406531961619

Correct Marks : 4

Question Label : Multiple Choice Question

An asset earns an annual interest rate of 6% compounded **continuously**. If you invest Rs 2,000 today, what will be the value of the investment after 5 years? (Rounded off to nearest integer)

Options :

6406536373983. ✗ Rs 2,600

6406536373984. ✓ Rs 2,700

6406536373985. ✗ Rs 2,550

6406536373986. ✗ Rs 2,880

Question Number : 7 Question Id : 6406531961620

Correct Marks : 4

Question Label : Multiple Choice Question

In the country of Westeros, the nominal interest rate is 10% and the expected inflation rate is 4%. What is the real interest rate in Westeros?

Options :

6406536373987. ✗ 6.23%

6406536373988. ✓ 5.77%

6406536373989. ✖ 14.00%

6406536373990. ✖ 9.60%

**Question Number : 8 Question Id : 6406531961621**

**Correct Marks : 4**

Question Label : Multiple Choice Question

Which of the following statements regarding the Yield Curve is **FALSE**?

**Options :**

6406536373991. ✖ An inverted yield curve is often considered a predictor of recession.

6406536373992. ✖ A normal yield curve is upward sloping.

6406536373993. ✔ The yield curve plots the relationship between interest rates and default risk.

6406536373994. ✖ The yield curve plots the relationship between interest rates and time to maturity.

**Question Number : 9 Question Id : 6406531961622**

**Correct Marks : 4**

Question Label : Multiple Choice Question

You take a loan of Rs 2,00,000 at a monthly interest rate of 1% to be repaid over 2 years (24 months). What is the Equated Monthly Instalment (EMI)?  
(EMI is the promised equal monthly payment against a loan)

**Options :**

6406536373995. ✖ Rs 8,333

6406536373996. ✔ Rs 9,415

6406536373997. ✖ Rs 10,240

6406536373998. ✖ Rs 11,500

**Question Number : 10 Question Id : 6406531961623**

**Correct Marks : 4**

Question Label : Multiple Choice Question

Project A pays Rs 500 forever starting next year. Project B pays Rs 1,000 forever, starting 10 years from today. If the interest rate is 10%, which project has a higher Present Value (PV) today?

**Options :**

6406536373999. ✔ Project A

6406536374000. ✖ Project B

6406536374001. ✖ Both have equal PV

6406536374002. ✖ Cannot be determined

**Question Number : 11 Question Id : 6406531961624**

**Correct Marks : 4**

Question Label : Multiple Choice Question

Calculate the duration of a bond that pays Rs 500 in 2 years and Rs 1,500 in 4 years.

**Options :**

6406536374003. ✖ 3.0 years

6406536374004. ✔ 3.5 years

6406536374005. ✖ 4.0 years

6406536374006. ✖ 2.5 years

**Question Number : 12 Question Id : 6406531961625**

**Correct Marks : 4**

Question Label : Multiple Choice Question

A consumer basket consists of 2 Apples and 4 Bananas.

**2023 (base):** Price of Apple = 10, Price of Banana = 5.

**2024:** Price of Apple = 12, Price of Banana = 6.

What is the inflation rate in 2024?

**Options :**

6406536374007. ✖ 10%

6406536374008. ✖ 15%

6406536374009. ✔ 20%

6406536374010. ✖ 25%

**Question Number : 13 Question Id : 6406531961626**

**Correct Marks : 4**

Question Label : Multiple Choice Question

An investment offers Rs 7,000 in Year 1 and Rs 6,000 in Year 2. If the current cost of this investment is Rs 10,000, what is the Internal Rate of Return (IRR) approximately?

**Options :**

6406536374011. ✖ 8%

6406536374012. ✖ 10%

6406536374013. ✖ 15%

6406536374014. ✔ 20%

**Question Number : 14 Question Id : 6406531961627**

**Correct Marks : 4**

Question Label : Multiple Choice Question

How long will it take to double your money if the interest rate is 8% per annum (compounded annually)?

**Options :**

6406536374015. ✖ 7 years

6406536374016. ✔ 9 years

6406536374017. ✖ 11 years

6406536374018. ✖ 13 years

**Question Number : 15 Question Id : 6406531961628**

**Correct Marks : 4**

Question Label : Multiple Choice Question

You save Rs 50 every day and deposit it into a bank account at the end of the day. The bank pays 7.3% annual interest compounded daily. (Assume 1 year = 365 days). Which formula represents your balance after 1 year?

**Options :**

6406536374019. ✔  $50 * \frac{(1+0.073/365)^{365}-1}{0.073/365}$

6406536374020. ✖  $50 * (1 + 0.073)^{365}$

6406536374021. ✖  $50 * 365 * (1 + 0.073)$

6406536374022. ✖  $50 * \frac{0.073}{1-(1+0.073)^{-365}}$

**Question Number : 16 Question Id : 6406531961629**

**Correct Marks : 4**

Question Label : Multiple Choice Question

Sahil earns Rs 50,000 in period 1 and Rs 60,000 in period 2. The interest rate is 20%. What is the Maximum Consumption Sahil can have in Period 1 (if he consumes nothing in Period 2)?

**Options :**

6406536374023. ✖ Rs 1,10,000

6406536374024. ✔ Rs 1,00,000

6406536374025. ✖ Rs 95,000

6406536374026. ✖ Rs 50,000

**Question Number : 17 Question Id : 6406531961630**

**Correct Marks : 4**

Question Label : Multiple Choice Question

A project has the following cash flows: Year 0: -10000, Year 1: 500, Year 2: 1000, Year 3: 1500, Year 4: 2000, Year 5: 2500, Year 6: 2500, Year 7: 2500. What is the Payback Period?

**Options :**

6406536374027. ✖ 2 years

6406536374028. ✖ 4 years

6406536374029. ✔ 6 years

6406536374030. ✖ 7 years

**Question Number : 18 Question Id : 6406531961631**

**Correct Marks : 4**

Question Label : Multiple Choice Question

In 2024, the Nominal GDP of a country increased by 10%, while the Real GDP remained constant. This implies:

**Options :**

6406536374031. ✖ Production increased by 10%.

6406536374032. ✔ Prices increased by 10%.

6406536374033. ✖ Both prices and production increased by 5%.

6406536374034. ✖ The GDP deflator decreased.

**Question Number : 19 Question Id : 6406531961632**

**Correct Marks : 4**

Question Label : Multiple Choice Question

Consider a 10-year zero-coupon bond that promises to pay 1000 units after 10 years. The annualized interest rate is 5%. Suppose due to rising uncertainty, the prevailing interest rate increases by 20 basis points to 5.2%. What would be the impact on the value of the bond?

**Options :**

6406536374035. ✖ Increases by 2.88%

6406536374036. ✖ Decreases by 2.88%

6406536374037. ✖ Increases by 1.88%

6406536374038. ✔ Decreases by 1.88%

**Question Number : 20 Question Id : 6406531961633**

**Correct Marks : 4**

Question Label : Multiple Choice Question

Your portfolio consists of two "Red" bonds, each with a face value of 100 and a probability of default  $p = 10\%$ . The bonds are **perfectly correlated**. Through securitization, you create a Senior Bond (paid first) and a Junior Bond (paid last). What is the probability that the **Junior Bond** defaults?

**Options :**

6406536374039. ✖ 1%

6406536374040. ✔ 10%

6406536374041. ✖ 15%

6406536374042. ✖ 20%

**Question Number : 21 Question Id : 6406531961634**

**Correct Marks : 4**



Question Label : Multiple Choice Question

You go to an art exhibition in 2026 and see a painting is priced at Rs 2,00,000. You search online and find out that the painting was purchased for Rs 200 by a prince in 1926. What is the annualized rate of return that the painting has accrued?

**Options :**

- 6406536374043. ✖ 4.52%
- 6406536374044. ✔ 7.15%
- 6406536374045. ✖ 9.01%
- 6406536374046. ✖ 10.00%

**Question Number : 22 Question Id : 6406531961635**

**Correct Marks : 4**

Question Label : Multiple Choice Question

Which of the following yields the highest return on Rs 100 invested for 1 year?

**Options :**

- 6406536374047. ✖ 10% compounded annually
- 6406536374048. ✖ 10% compounded semi-annually
- 6406536374049. ✖ 10% compounded quarterly
- 6406536374050. ✔ 10% compounded monthly

**Question Number : 23 Question Id : 6406531961636**

**Correct Marks : 4**

Question Label : Multiple Choice Question

A project earns a total return of 34% over two years. If the return in the first year was 16%, what was the annual return in the second year?

**Options :**

- 6406536374051. ✖ 18.0%
- 6406536374052. ✖ 16.5%
- 6406536374053. ✔ 15.5%
- 6406536374054. ✖ 14.0%

**Question Number : 24 Question Id : 6406531961637**

**Correct Marks : 4**

Question Label : Multiple Choice Question

Systematic Investment Plan (SIP) is a popular method of investing by contributing a fixed amount of money at regular intervals. You start an SIP of Rs 24,000 per year (beginning next year) towards a fund that earns 7.5% annual interest. What will be the value of your investment after 20 years?

**Options :**

- 6406536374055. ✖ Rs 4,80,000
- 6406536374056. ✔ Rs 10,39,312

6406536374057. ✖ Rs 15,24,854

6406536374058. ✖ Rs 20,38,968

**Question Number : 25 Question Id : 6406531961638**

**Correct Marks : 4**

Question Label : Multiple Choice Question

You are looking to invest in one new project, and you have three options: Project-A is expected to generate Rs 10 lakh after two years and Rs 20 lakh after 5 years; Project-B is expected to generate Rs 6 lakh each year for 6 years (beginning next year); Project-C is expected to generate Rs 40 lakh after 6 years. Each one of the projects costs Rs 25 lakh today. The required rate of return on these projects is 10%. Which one of the projects should you choose according to NPV criterion?

**Options :**

6406536374059. ✖ Project-A

6406536374060. ✔ Project-B

6406536374061. ✖ Project-C

6406536374062. ✖ All three projects have the same NPV

**Question Number : 26 Question Id : 6406531961639**

**Correct Marks : 4**

Question Label : Multiple Choice Question

Consider a bond that pays Rs 200 in 3 years, Rs 400 in 6 years, Rs 600 in 9 years, Rs 800 in 12 years and Rs 1000 in 15 years. What is the maturity of the bond?

**Options :**

6406536374063. ✖ 3 years

6406536374064. ✖ 9 years

6406536374065. ✖ 11 years

6406536374066. ✔ 15 years